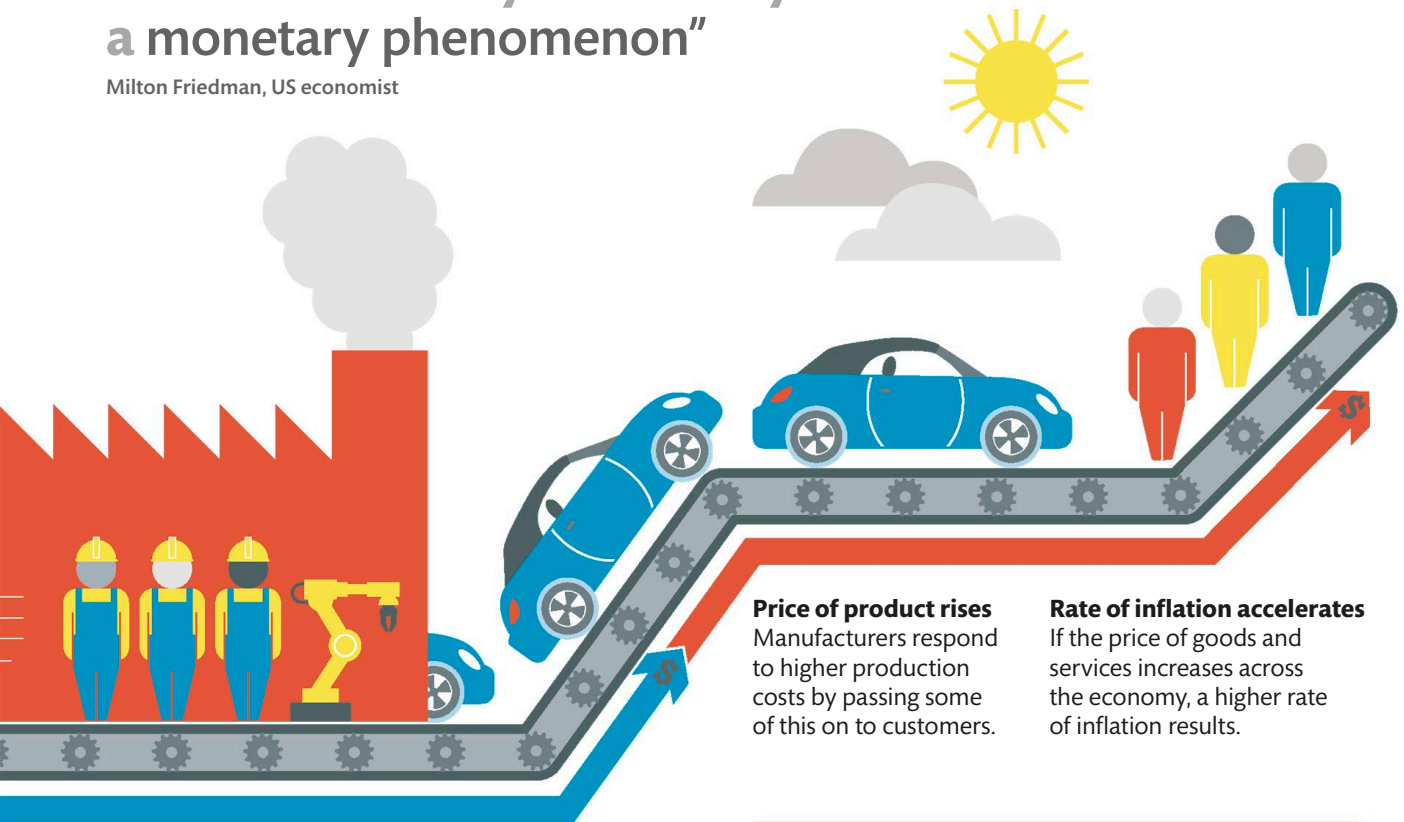


"Inflation is always and everywhere a monetary phenomenon"

Milton Friedman, US economist



Higher wages

The employees demand better pay, as it appears that prices are rising. The company agrees and their overall costs increase.

Price of product rises

Manufacturers respond to higher production costs by passing some of this on to customers.

Rate of inflation accelerates

If the price of goods and services increases across the economy, a higher rate of inflation results.

CAUSES OF COST-PUSH INFLATION

Cost-push inflation is driven by a rise in running costs for businesses. This can have a number of causes.

- › **Costs of raw materials** Rises might be due to a scarcity resulting from a natural disaster, or an artificial limit imposed by a monopoly – for instance, the oil embargo in the 1970s, which tripled prices.
- › **Labour costs** Strikes, low unemployment – meaning that firms need to pay more in order to attract skilled labour – strong unions, and staff expectation that general prices will rise can all result in firms raising wages and shifting the extra cost to customers.
- › **Exchange rates** When a country's currency drops against a trading partner, more money is required to purchase goods from abroad, which can cause inflation.
- › **Indirect taxes** A rise in VAT or other tax on a product might be passed on to the customer.



NEED TO KNOW

- › **Nominal values** Prices, wages, and other economic variables that are not adjusted in order to take account of inflation.
- › **Real values** Figures adjusted for inflation and used when looking at economic variables over a period of time to determine whether increases are influenced by inflation or economic growth.